

and compare the details to this chapter, year by year and month by month, to see how your strategy would have handled things differently and whether it is still a viable way forward.

You simply cannot base your strategy selection process just on simulation summary statistics or a long-term equity curve.

After this year-by-year review, in the next chapters I look more closely at how to replicate and reverse engineer existing futures hedge funds as well as how to further improve upon the core strategy.

■ 2002

So, imagine that we are back in late 2001 and we're about to embark on a 20-year trading journey. In the first edition of this book, I started the year-by-year review in 1990 and made some offhand jokes about Bon Jovi, fading pastel colours, and Tiananmen Square, which was just the first things that came to mind from remembering 1989. Of course, when writing that, I hadn't expected this book to be such a big success, and I certainly hadn't expected it to be translated into Chinese. Writing this update, I just had to find out how my off-the-cuff remarks were handled in those versions. As it turns out, the Simplified Chinese, which was translated in Beijing, kept Bon Jovi but cut any references to pastel colours and tanks in Tiananmen Square. In the Traditional Chinese version, translated in Taipei, they kept all three, and added a clarification about said tanks being part of the Chinese People's Liberation Army. In retrospect, I'm not sure if I should be worried or proud of having accidentally wandered into a geopolitical minefield, and now I seem to have gone and done it again.

Well, this time around we're starting off at the end of 2001, which is a year I also have very vivid memories of, but find it harder to crack jokes about.

Anyhow, it's the morning of 2 January 2002 and you're all set to begin your adventure. You were in luck because you had just received US\$10 million committed from investors for your new managed futures fund and you had all your infrastructure set up, ready to go. You start off by running your backtest to get your starting positions, your list of long and short futures positions which you're supposed to hold on that day. The number of positions held will vary quite a bit over time, and depends on how many trends are available at the moment.